⑤ has clearly been much slower than wave ③, the classic precursor to a downside reversal. We can now add to the divergence at Cycle degree a divergence at Primary degree. Is there a divergence at Intermediate degree as well?

Figure 9-3 updates the 12-month rate of change that *The Elliott Wave Theorist* used in 1983 to confirm the start of wave V. Examine its behavior of the past eight years, and you will see that this indicator has been giving one of the clearest and longest lasting "sell signals" in its history. Not only has the latest all-time high in the S&P Composite index failed to generate new extremes in upside momentum, it has accompanied a massive *quadruple divergence.* The advance into the 1987 and 1990 peaks had already displayed a slowing in upside momentum relative to the 1982-1983 rise. The peak "overbought" readings in 1983, 1987, 1989 and 1991 were **+52.5%**, **+34.3%**, **+29.8%**, and **+24.4%** respectively. As we enter the second quarter of 1995, the Dow is potentially creating yet another divergence as the rate of change has reached only **+13.8%**, making the latest one-year rise the slowest of the entire bull market. These last two readings are divergences at Intermediate degree. The progression of lower peaks, coupled with the fact that the oversold conditions of 1988 and 1990 were deeper than that of 1984, presents a clear picture of a market that is finding it increasingly easy to decline and increasingly difficult to advance. These lower peaks create a momentum profile not unlike the one that accompanied the market into the 1966 top. It is therefore the most urgent long term sell signal since the peak of Cycle wave III.

There is also a divergence at Supercycle degree, although it does not show up on the chart of the actual Dow because of the powerful inflation that has persisted since the 1940s. Turn back to Figure 3-3 and recall that since 1948, the inflation-adjusted Dow has performed in a strikingly weak manner compared to its gains in Supercycle wave (III). Although there is no rate of change plotted on that chart, you can see at a glance that the rise into 1929 would generate an extreme overbought condition, while the appropriate rate of change would be diverging dramatically against the moderate new highs of 1966 and 1995. The current status of long term momentum, then, with divergences at fully four degrees of trend, is precisely what one would expect if the Elliott Wave analysis presented in this book is correct.